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◆ Editorial Office Living Media India Ltd. F-14/15, Connaught Place New Delhi 110001. Phones: 23315801-4;

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Phones: Toll-free number: 1800 1800 100 (from BSNL/MTNL lines); (95120) 2479900 from Delhi and

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e-mail: [weccare@indiatoday.com](mailto:weccare@indiatoday.com); Mumbai: 022-24444423-6, Fax: 24444358 ◆ Sales: Direct all trade enquiries to

General Manager (Sales), Living Media India Limited, 201 Competent House, F-14, Middle Circle, Connaught Place,

New Delhi ◆ Regd. Office: K-9 Connaught Circus, New Delhi 110001 ◆ Impact Offices: Trade Centre, 2nd Floor,

Kamala City, Senapati Bapat Marg, Lower Parel, Mumbai 400013; Phone: 24983355; Fax: 24982266 ◆ Hamilton

House, 1-A, Connaught Place, New Delhi 110001; Phone: 23352233; Fax: 23327330 ◆ 98-A, Dr. Radhakrishnan Salai,

2nd Floor, Mylapore, Chennai-600 004; Phones: 28478526-41; Telex: 041-6177 Into In; Fax: 28472178; Cable:

Livmedia Chennai ◆ 201-204 Richmond Towers, 2nd Floor, 12, Richmond Road, Bangalore-560025; Phones:

22212448, 22213037, 22218343; Fax: 22218335; Cable: Livmedia, Bangalore ◆ 52, Jawahar Lal Nehru Road,

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◆ 2C, "Suryarath Bldg", 2nd Floor, Behind White House, Panchsai, Office C.G. Road, Ahmedabad-380006;

Phone: 26560393, 26560929; Fax: 26565293

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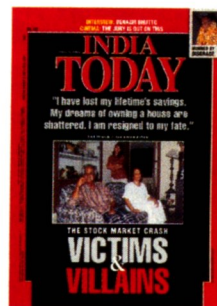
At the best of times, the stock market works in mysterious ways. Last week's crash, when the Sensex slid by 2200 points within 90 seconds of the market opening, its biggest-ever drop, showed just how unpredictable the markets have become. The main reason for the crash according to experts, was the sub-prime crisis in the US and fears that the American economy was headed for a recession. This prompted a massive and sudden outflow of money by foreign institutional investors from the Indian stock market. There was also the phenomenon of large public offerings which sucked out liquidity or over Rs 1,00,000 crore of cash from the market aggravating the slide. It brought to mind former UN secretary-general Kofi Annan's observation that "Globalisation is a fact of life but I believe we have underestimated its fragility." The fragility of the Sensex was also due to local factors, including something as amorphous as "market sentiment". This is based on a random but collective "feeling" relating to a host of factors ranging from market liquidity to political stability and even unconfirmed rumours that seem to spread like wildfire.

There is another important factor. Ever since the boom years of 1992, the community of investors has mushroomed. Stocks are a symbol of middle-class aspirations. There are now around 26 million unit holders in mutual funds and a similar number of individual investors in stocks and shares. Many recent investors are first-time players who do not understand the complex combination of science and sentiment which governs the markets.

Last week's bloodbath was the direct result of panic selling connected to global cues which ignored the fact that the fundamentals of the Indian economy are as strong as they have ever been. Even though the markets recovered some losses by Wednesday, the warning bells are ringing loud and clear. A combination of greedy investors, exiting foreign institutional investors, and speculators punting on borrowed money almost brought the market to its knees and wiped out virtually a third of investor wealth before some semblance of normalcy was restored. It could take months, if we are lucky, for the market to recover the 20 per cent it has lost or to reach the record 21,000 level again.

Our cover story analyses the question everyone is asking: How safe is our money? Managing Editor Shankkar Aiyar and our business bureau spoke to a range of experts, investors and officials in the Finance Ministry to look at the long-term prospects of the market and come up with some sage advice for investors. The Indian markets have seen periodic and wild swings since 1992, part of a natural cycle common to markets everywhere. This time the magnitude of the crash brings home the fact that when a country thousands of miles away catches a cold, we get pneumonia.

*Aroon Purie*  
(Aroon Purie)



Our April '01 cover